

General Partner

Document for Silk

Road Ventures

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1. Fund Details

Investment Thesis and Strategic Alignment

1. Fund Strategy

Investing in pre-seed, Seed/Series A is the focus of our AIF, spanning three infrastructure-driven aspects. These aspects include B2B payments and settlement, integrated financial access technology, SMEs credit, liquidity, and solvency, as well as risk transmission technologies. These industries are among the most active and influential Fintech sectors considering a broader financing recession. The ongoing investment trend in real-time payments and embedded finance over 2024-25 is highlighted in KPMG’s Fintech forecast. FinTechs are gradually overtaking banks worldwide, which remain the primary driver of revenue. The strategy is to invest in fundamental financial infrastructure that underpins revenue generation across consumers, SMEs, and businesses. This is reflected in our portfolio, which consists of Mesta, Receive, and Bondaval.

2. Investment Thesis Company-Level

2.1 Mesta: Infrastructure for B2B Cross-Border Payments

Mesta aims to address persistent challenges in cross-border business-to-business payments, including high costs, delayed settlements, and the fragmentation of financial institutions

worldwide. McKinsey highlights cross-border rapid payments as a structural growth topic amid increased competition from non-bank fintech incumbents. The Financial Service Bureau also warns that global G20 cross-border payments objectives are unlikely to be achieved soon, citing significant unmet demand.

Mesta employs a hybrid flat-stablecoin settlement mechanism that enables companies to conduct transactions via a Web 2 interface while using regulated stablecoins like USDC for near-instant payments. Village Global, Circle Venture, and Paxos have already contributed up to \$5.5 million to Mesa in 2025. This exemplifies clear confirmation from specialists and innovators of stablecoins and infrastructure. The firm handled over \$140 million in volume in the first year alone.

Strategic Alignment: Mesta provided enterprise treasury and B2B cross-border payments, alongside a modernized settlement platform, exposing the portfolio to rapidly expanding global payment rails.

2.2 Receive

Receive is a liquidity system designed for small and medium-sized enterprises to utilize the funds that were previously collected, even prior to payments from customers are completely cleared. It also allows SMEs to manage liquidity constraints arising from protracted repayment periods and overdue liabilities. Receive interacts immediately with payment processing companies and software programs, continuously assessing a firm's revenue information to deliver rapid liquidity. That may be expanded using an individual company's Visa/MasterCard. No borrowing, no interest, and no extra fees is Receive's strategy, different from standard lending or profit-based borrowing. It is a strategy based entirely on generated income; it provides a versatile and accessible form of operating capital.

Supported by Venture investors such as NextGen Venture Partner and Insight Partners, Receive was able to secure \$4M in the seed funding round which has increased its total capital to \$7.1M, incorporating a loan infrastructure. In the expanding, innovative SME industry, its early-stage profile and embedded-finance go-to-market approach are well-received.

Strategic Alignment: Delivering an integrated liquidity strategy that enhances SMB cash flow without increasing Debt, allows Receive to correlate into our fund's emphasis on small and medium-sized enterprises finance accessibility solutions. Establishing a full cash flow infrastructure stack throughout our business, as Receive combines with Mesta's worldwide settlement solutions and Bondaval receivables safeguards.

2.3 Bondaval: Software for SME credit and insurance.

Bondaval addresses a fundamental B2B issue: standard trade credit insurance is expensive and inflexible, and SME suppliers are vulnerable to default risk. As supply chain risk and economic instability increase, sector analysis reveals increased demand for digital, data-based guarantees for credit.

Bondaval uses a capital-efficient insurance strategy and technology to enable systems to provide guarantees for credit and non-payments. The company has built a partnership with Swiss Re Corporate Solution as they provide the underlying insurance capacity which allows Bondaval to offer credit insurance and digital guarantees.

Strategic Alignment: As Bondaval has a defensive B2B revenue portfolio, supported by institutional-level insurance capacity, this solidifies the portfolio of the fund.

3. Strategic Alignment Portfolio-Level

3.1. Conceptual Alignment

All three businesses support the premise of our fund, which is to provide internationally expandable, critical, and legally authorized financial systems:

Company	Sector	Strategic Fit
Mesta	Payment Infrastructure	The use of legal, stable coins to improve cross-border settlements.
Receive	Embedded Finance and SMB revenue monitoring	Enables SMBs to access immediate and continuous liquidity in payment platforms.
Bondaval	B2B Credit and transmission of Risks	Insurance-grade capabilities, to digitalize trade-credit protection

This ensures the fund portfolio invests in critical financial infrastructure rather than irrelevant consumer applications.

3.2. Portfolio Diversification and Balance of Risk to Reward

The portfolio of the fund offers organic diversification in the following areas:

Company	Targeted Segments	Risk Profile	Regulatory frameworks
Mesta	B2B	Early-stage infrastructure High beta	Stablecoin settlement

Receive	Commerce and Infrastructure for SMBs	Medium-Sized Integrated Finance	Not a loan approach, U.S SMB financial disclosure regulations.
Bondaval	SMEs and Corporations	Defensive, continuous B2B profits.	Swiss Re insurance underwriting frameworks.

This diversified coverage reduces the portfolio's fundamental fluctuations while protecting startup potential.

3.3. Regulatory Alignment with Fund

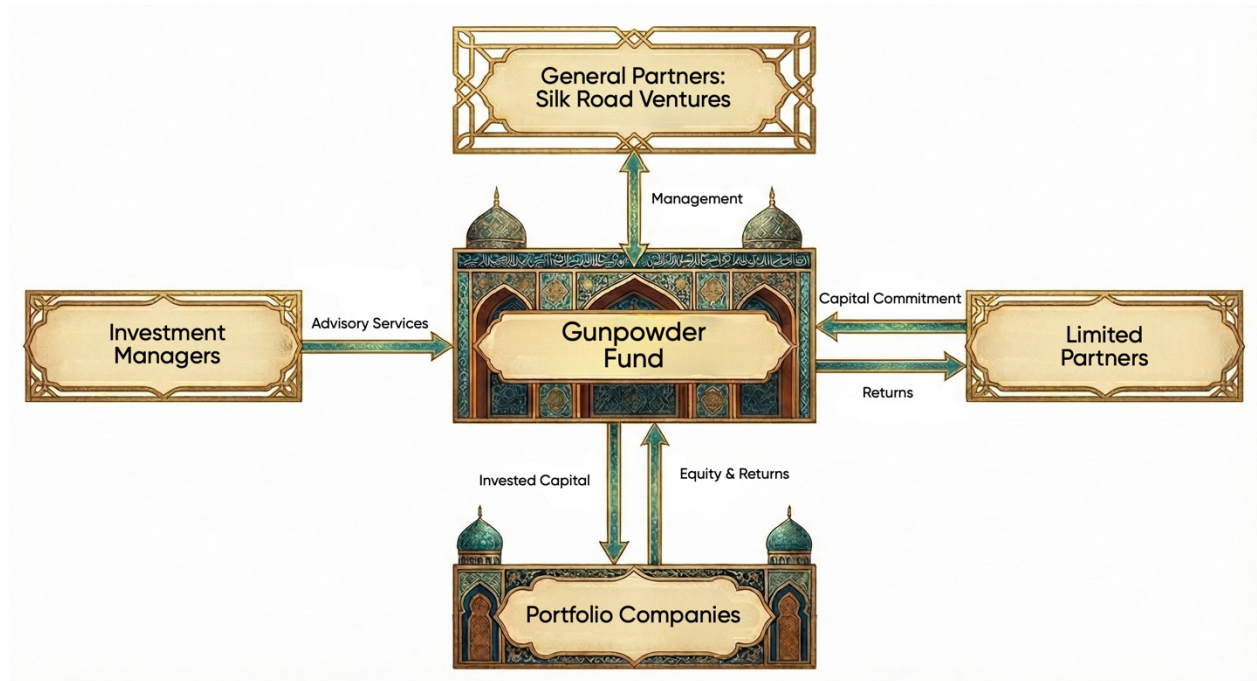
Mesta: Authorized issuers such as Circle and Paxos are where Mesta utilizes its fully reserved stablecoins.

Receive: Eliminates interest-driven financing and conforms with increasing U.S disclosure regulations in SMB finance.

Bondaval: Ensures compliance with international insurance systems by operating via Swiss Re Corporate Services.

The regulatory synchronization throughout portfolio lowers the threats and risks of compliance and enhances institutional resilience, efficiency, and capabilities.

Fund Structure



2. Governance

Our fund is managed by a tight-knit group of 7 professionals, each with clearly defined and segregated roles that unite to cover all critical functions of a venture firm. The list is displayed below:

- **Mr. Karim Abbas** will serve as the **Managing Partner**- Mr.Abbas will lead the fund's core strategy and will chair the Investment Committee, ensuring that the committee fulfils its mandate and provides objective recommendations.

- **Mr. Sami Aleisa** and **Mr. Shreyas Bindal** will serve as the **Investment Partners**- Mr.Aleisa and Mr.Bindal will source deals, conduct due diligence and present investment opportunities to the committee
- **Mr. Turgut Mammadli** and **Mr. Alexandros Skoteinadis** will serve as the **Analysts**- Mr. Mammadli and Mr. Skoteiniadis will perform market research, financial modelling and aid in preparing investment materials
- **Mr Osama Ashqar** will serve as the **Operations Manager**- Mr Ashqar will oversee the fund and its administration, its finances, and liaise with external fund administrators and auditors to ensure accurate and compliant reporting.
- **Mr. Vasileios Tsaousis** will serve as the **Investor Relations Professional**- Mr. Tsaousis will communicate with LPs, prepare quarterly reports to distribute to LPs and handle any new fundraising inquiries.

Decisions on our investments are made through an Investment Committee comprising the Managing Partner and our two Investment Partners. Our Operations Manager (Compliance Officer) will also be present, but in an advisory capacity. Deals are initially sourced and screened by an assigned partner and analyst and then debated at IC meetings. Decisions are made by majority vote, with the Managing Partner having the right to veto. Our committee structure ensures that we have experienced professionals overseeing our investment decisions and adds a critical

regulatory and compliance advisory perspective through our Compliance Officer. We intend to document all IC discussions to leave an appropriate audit trail.

In line with the FCA guidelines, we have also implemented robust compliance protocols. We aim to undergo annual independent audits of our financial statements and perform quarterly portfolio reviews to monitor risk and exposure. Through our framework, we will also hold monthly risk management meetings where we review portfolio company performance, liquidity needs, and any pressing regulatory issues that may have arisen. We have implemented comprehensive anti-money laundering and cybersecurity policies given the sensitive financial data we handle. Additionally, each of the 7 team members has formally acknowledged their SMF duties, outlining clear individual accountability for compliance mishaps.

Overall, our governance structure is robustly designed to align our managers' incentives with our LPs' interests. We have insured this through a compensation model of a 2% management fee and 20% carried interest, in addition to our efforts to maintain continuous transparency between the two parties. This structure is highly focused on ensuring we continue to operate with institutional-grade professionalism, oversight, and control, despite our size.

3. Business Model Overview

Portfolio Company Backgrounds and Market Analysis

Mesta

Product and Solution:

Mesta is a fintech start-up that offers a global cross-border payments network, combining traditional payment rails with blockchain-powered stablecoin rails (Mesta, 2025). The problem Mesta solves arises from the high costs and slow settlement times that cross-border payments face. Fintechs need a way to send money globally that balances compliance and reliability with speed and cost-efficiency (stablecoins). This is where Mesta comes into play. The solution provided by Mesta includes a hybrid payment structure (Mesta, 2025). It combines fiat rails to comply with regulations and stablecoin rails for speed and cost efficiency (Mesta, 2025). Through its API platform, Mesta enables users to execute global payments in multiple currencies and stablecoins. According to Mesta, its hybrid network benefits users by saving 50% on transaction fees compared to traditional cross-border payment structures (Mesta, 2025). The platform supports 40+ currencies across 100+ countries (Mesta, 2025).

Business Model:

Mesta's core value proposition combines fiat and blockchain rails to enable low-cost, real-time cross-border payments (Mesta, 2025). It is an API-first model that enables clients (fintechs, wallets, enterprises) to quickly integrate Mesta's payment infrastructure into their platforms, making it suitable for scalable, embedded finance use cases (FintechFutures, 2025). Mesta earns revenue through transaction fees on its platform (Mesta, 2025). Given the 50% savings it advertises, Mesta's model attracts businesses seeking cost-efficient payments. Mesta serves on a B2B basis from SMEs to large corporates.

Funding History and Investors:

Seed Round 2025: \$5.5 million raised led by Village Global and participation from Circle Ventures, Paxos and Western Technology Investment (Financialit, 2025). Existing Investors include Garuda Ventures, Canonical Crypto, Everywhere Ventures, and Inventum Ventures (Financialit, 2025). Pre-Seed Round 2025: \$2 million raised led by Garuda Ventures (FintechFutures, 2025). Mesta has raised about \$7.5 million to date across its two funding rounds.

Market Analysis:

Mesta operated in the global B2B Cross-Border Payments Market which is one of the largest financial flows in the world. The combined value of the global cross-border payments market is projected to grow to \$290 trillion by 2030, which is driven primarily from B2B transactions (J.P.Morgan,2024). Indeed, B2B cross-border flows represent around 72.6% of total value of global payments, making it the clear dominant segment in the category (Grand View Research, 2025). More specifically, in 2024 alone, the global B2B cross-border payments market exceeded \$40 trillion, with continues double- digit growth expected due to continuous increase in digital trade, mainly from e-commerce marketplaces (Smith,2023).

Conversely, most global payments are still handled by legacy rails, which compared to the flurry of new fintech solutions on the market, are too slow, fragmented, and have high transactions costs, that all fuse to take away from the customer experience. Nearly 45% and 55% of SMEs doing cross-border trade emphasized that speed of execution and unfair payments as their top barriers respectively, highlight slow settlement times, high FX margin and hidden banking fees as their main inhibitors (Treasury Management International, 2023). In all legacy rails introduce 2–5-day settlement delays that can often be at the detriment of SME payments. This is an exciting market

for Mesta to operate in, because the sheer size of the market and its highly fragmented nature, means that even capturing a tiny share of flows through its proprietary rails becomes a large revenue opportunity.

There are also key structural trends that define the market opportunity for Mesta:

1. **Rise of Stablecoins for B2B Payments:** Stablecoins continue to become serious enterprise settlement infrastructure for global payment solutions. USDC settlement volume alone has exceeded \$12 trillion, highlighting a transition from more granular adoption to now corporate and institutional based (Cicle,2024). All big payment providers have transitions to the stable coin market, where companies like Wordplay, Visa, and Stripe have already started rolling out stablecoin settlement merchants (Visa,2025) (Wordpay,2025) (Lee,2025). The reason for this is the enhanced efficiency that this medium provides in cross-border payment solutions, with KPMG reporting that stable coins have the capacity to reduce cross-border settle costs up to 99% and settlement times in seconds (Canny & Boost,2025). This is particularly attractive when the core pain point amongst enterprises is delayed cross border payments. Mesta's focused fiat and stablecoin architecture positions it to perfectly capitalize of this shift.
2. **Continuous Expansion of Remote Work-** Mesta is particularly positioned in global payroll, a fintech subsector where solutions providers use technology to manage and automate employee payments across countries. Continuing, to ride the remote

work trends propagated by the COVID mandated lockdowns, with 26% of the global workforce now working fully remote, and 49% in hybrid arrangements (Talent Pay,2025), many of whom require cross-border payroll solutions. The growing number of workers relying on these solutions has led to triple digit YoY growth in payment volumes that Mesta is perfectly positioned to capitalize on.

Bondaval

Product and Solution:

Bondaval is a London-based fintech firm that modernizes B2B credit security by replacing traditional bank guarantees and trade credit insurance with microbonds (Bondaval, 2025). Microbonds are a proprietary, tech-enabled form of credit guarantee. Bondaval's solution focuses on traditional credit protection, such as bank guarantees and LOCs (Bondaval, 2025). Traditional credit protection is slow, expensive and requires high collateral. Bondaval addresses that by providing a fully collateral-free financial instrument that gives suppliers assured payment while freeing up working capital for buyers (Bondaval, 2025). Bondaval's microbonds are issued in minutes and don't require collateral. They are cost-effective compared to bank guarantees (Bondaval, 2025).

Business Model:

Bondaval operates as a B2B SaaS-enabled guarantee model and has plenty of revenue streams (Bondaval, 2025). Firstly, one of its core revenue streams is Microbond premiums, where companies pay a fee to issue Microbonds that secure their credit exposure (akin to an insurance premium). Secondly, their SaaS platform fees contribute to their revenue streams as enterprises pay recurring fees for access to Bondaval's underwriting platform. Finally, Bondaval partners

with major insurers and capital providers to share risk and scale issuance (Bondaval, 2025). Bondaval positions itself in the market as an efficient and flexible fintech alternative to traditional credit security lines.

Funding history and investors:

Seed Round 2021: \$7 million led by Octopus Ventures (Bondaval, 2025). Participants in the seed round were also Insurtech gateway, TrueSight Ventures, Expa, and angel investors.

Series A 2022: \$15 million led by Talis Capital. Other investors were Octopus Ventures, Expa, FJ Labs, Insurtech Gateway, TrueSight Ventures, and Broadhaven Ventures. This round brought Bondaval's total funding to \$20 million (TechCrunch, 2022). Series A funding was used to expand globally and especially in North America.

Overall, the funding that Bondaval raised was used to scale operations in the UK, Europe, and the USA. In addition, Bondaval has current partnerships with major insurers such as Arch and Markel to support their underwriting capacity.

Market Analysis

The global trade credit insurance market was estimated at \$11.7 billion in 2024, expected to grow at an 11.1% CAGR until 2030, mainly driven by growing cross-border trade and rising concern over an increasing number of buyer defaults (Grand View Research, 2024). Indeed, trade credit insurance is becoming an increasingly ever-present coverage solution for global trade, as short term trade credit insurance supported around 15.07% of global trade in 2023, equally EUR 8.5 trillion of insured trade (Ezaru, 2023).

In the UK alone, where Bondaval is headquartered, the trade credit insurance market generated \$596.9 millions of trade credit insurance (TCI) premiums in 2023 and is expected to follow global

market growth patterns at a similar CAGR 11.2% until 2030 (Grand View Research, 2023). Most of this premium growth is driven by large enterprises but is increasingly expected to be driven growth in insurance coverage appetite from SMEs, which Bondaval directly prioritizes to service.

Bondaval also has exposure to the global surety market, as its original micro bonds are on-demand surety instruments. Global surety insurance premiums amount to \$19-22 billion in 2024 and are projected to grow at a 3-7% CAGR by 2030-2033 (Maximize Market Research, 2025), underscoring another sizeable market in which Bondaval has access to.

There are also key structural trends that define the market opportunity for Bondaval:

1. **Increasing use of TCI for the purpose of supply-chain resilience-** Major adverse demand supply side shocks that global trade markets have experienced in the last 5 years have made TCI's increasingly important to ensure supply chain resilience, being the fundamental driver in the promised growth of TCI premiums over the next decade. In an era of consistent geopolitical shocks, persistently sticky inflation and insolvencies, more companies are starting to hedge their trade exposure by exploring TCI solutions (Verlingue, 2024). A reason for this, is that TCI was fundamental in keeping liquidity in supply chains during the pandemic, already having mass credibility in the eyes of most involved in global trade as a risk-management tool that deals with major volatility (Minca, 2022). While TCI supports roughly EUR 8.5 trillion of global trade, the fact that only represents 15% of global trade (Ezaru, 2023) also implies that the majority of supply still continue to lack access to credit protection or find existing products too rigid to service their highly tailored needs, with the gap being even more pronounced for SMEs. Bondaval,

being able to leverage technology, to craft highly bespoke coverage solutions in TCI means that more customized and scalable solutions can be distributed at greater pace to these suppliers to capture a greater share of a growing.

2. **Increasing Digitization and data-driven credit risk solutions-** Credit insurers are increasingly using data analytics and digital platforms to streamline their systems, particularly to assess buyer creditworthiness, and dynamically monitor their payment behavior, and banking and cash flow data (Alliaz,2025). Bondaval is perfectly positioned to capitalize on this newfound appetite amongst current insurance incumbents, as a native to data-driven credit risk analytics. Its micro bonds and TCI policies are dynamically underwritten and managed entirely on their tech-enabled platform, allowing for increase ease of use for credit managers to adopt. Indeed Bondaval, has already moved to capitalize on this trend announced a global partnership with Swiss Re Corporate Solutions, which is explicitly marketed as a “data driven credit risk solution” (Bondaval, 2025).
3. **Converge of Surety and Trade Credit-** As business continue to search for more flexible ways to protect themselves against buyer non-payments, they are starting to move away from cash-backed letter of credit, and more toward digital guaranteed products and credit insurance that provide equal protection, but without tying up their cash (Market Research Future,2025). Instead of treating surety bonds and trade credit insurance as completely different products, sold by different providers and used in different situational niches, now companies increasingly necessitate a singular product that can both guarantee payment upfront, in the case of surety bonds, and also compensate them if the buyer defaults, in the case of TCI coverage. Digital underwriting and real time risk scoring offered my new

startups like Bondaval, have now made it possible to create insurance instruments that can function like both, all packaged in a single highly flexible format.

Receive

Product and Solution

Receive is a financial access platform aimed at timely business cash flow management. This is because its focus is on offering earned revenue access primarily to small and medium-sized enterprises (SMEs). This means that they provide businesses with instant access to money they have already earned, even if the payment is not yet settled, primarily helping companies receive immediate cash from recent sales receivables (Receive, 2025).

Once a business connects to Receive's sales platform, the company dynamically analyzes all sales data to provide liquidity needs, which the business can then use to spend immediately through a business Mastercard, made available through their partnership with Patriot Bank, N.A. (Receive, 2025). The goal is robust and continuous cash flow management, providing businesses with immediate access to working capital that may otherwise get tied up in long payment settlement cycles. Additionally, Receive emphasises that companies get access to cash they've already earned, with no borrowing, no interest, and no fees, distinguishing it from traditional credit and advance products (Receive, 2025).

Business Model

Receive is an embedded finance solution, meaning it monetizes through partnerships with various payment processors, independent sales organizations, and other software platforms, operating as a value-add service for partners' SME customers. The recently announced partnership with Titanium

Payments, a full-service payment processor, to launch a proprietary Titanium Boost Business Mastercard (PRNewswire, 2025), is an example of its business model in action.

One connected to their system, the business credit card that SME's have access to, which lets them draw on and spend their available revenue, means that Receive also gets income through card transaction interchange fees and a portion of the arrangement fees charged to the payment processor partner.

As a result of its source of revenue being from partnership and not from traditional underwriting features, interest and fees, its business model success hinges heavily on the actual payment data services it provides, and how its system can continuously monitor actual sales performance (Ctech,2025).

Funding History and Investors

Receive underwent a successful US \$4 million seed round led by NGVP, bringing their total equity funding to US \$7.1 million. In addition to their equity funding, the company has also raised a debt facility of US \$15 million, giving the firm immediate liquidity to underwrite payouts (PRNewswire, 2025).

Backers of the startup are a mix of venture capital investors, including Blank Ventures, Verissimo Ventures, Insight Partners, Corner Ventures, Clocktower Technology Ventures and others (Ctech,2025).

The startup is led by Ariel Blum, who has prior leadership roles at established players, including Melio, Green Dot, and American Express (Ctech,2025).

Market Analysis

Receive's product solution is bridging the SME cash-flow and working-capital gap, and as a result has a sizeable effective market to draw from. Globally, this gap is a clear problem for SMEs. 40% of MSMEs are credit-constrained, creating an unmet financing gap of around \$5.7 trillion per year in just developing countries (World Bank, 2025). A significant portion of this financing gap is due to short-term working capital needs. The main driver here is late receivables and slow customer settlement times.

In the UK, 62.6% of SMEs' invoices in 2025 were paid late (Martin, 2025), meaning most businesses are forced to pay their suppliers late because their own customers pay late, highlighting a profoundly inefficient cash flow management system that limits the effectiveness of their cash conversion cycle. Indeed, as a result of these payments, the UK alone estimates that they cost the economy GBP 11 million a year affecting 28% of the country's businesses and contributing to the closure of tens of thousands of small businesses annually (GOV UK, 2025), who, especially in their infancy, are in desperate need of continuous liquidity to fund growth through reinvestment and service their debt obligations.

Receive's market positioning is perfectly aligned with servicing these pain points caused by this funding gap by giving small businesses real-time access to their earned revenue without incurring debt-like obligations.

There are also key structural trends that define the market opportunity for Receive:

1. **Persistent MSME financing gap-** The SME financing gap has shown continuous persistence amongst SME's which represent 90%+ of businesses worldwide and 50%+ of employment (World Bank,2025). Additionally, this \$5.7T MSME finance gap is heavily skewed towards short-term working capital being the primary driver.

2. **Growing diversion amongst SMEs from traditional debt to alternative funding, including revenue-linked finance-** Many SME simply do not have the capacity to offer the necessary collateral for large financial institutions 'conventional underwriting processes (Daily Business, 2025). Additionally, while SMEs are constantly in need of liquidity to maintain their operations, banks' underwriting and approval cycles involve layers of bureaucracy and slow decision-making, leading to missed opportunities for exciting growth (Daily Business, 2025). Bank underwriting over the last three years has also become much more expensive, as most mature economies entered a higher-for-longer era, making it even harder for SMEs to obtain financing at a serviceable cost. Because of this, many businesses are either rejected, priced out, or discouraged from obtaining financing through conventional loans, which has driven a shift in the market toward alternative funding strategies, including receivables-based finance.
3. **Growth of Embedded Finance Solutions-** As multivariant SaaS and payment platforms continue to scale and sophisticate, they are increasingly looking to embed financial products into their offerings as new revenue streams. Indeed, in Europe alone, revenues from embedded finance solutions could surpass EUR 100 billion by the end of the decade (Murati & Skau, 2024). This is particularly aimed at addressing the SME market, which is, by a significant margin, the most densely populated in terms of businesses. Receive's go-to-market strategy is an explicit and embedded solution that leverages existing payment platforms to add new revenue streams.

Detailed Financial Projections and Valuation

Valuation Methods Utilized by the Firm

The Anchoring Method (Market Price)

This method uses the most recent, factually supported transaction price as the primary valuation anchor. Anchoring methodology bases its expected value on suggested figures, making little adjustments from the key anchor point (Ioannidis, 2023).

The Projective Method (VC Method)

This is a future-focused method that calculates today's value by estimating the company's value at the time of an exit and then heavily discounting it back to the present. This method involved calculating a terminal value, dividing it by the required target return, and adjusting the ownership to achieve the required return (Cabrera, 2018). This method is used to model growth scenarios and potential opportunities for the fund.

The Qualitative & Relative Method (Scorecard/Comps)

This method adjusts a baseline valuation using qualitative factors and quantitative benchmarks from similar companies. The scorecard method benchmarks startups against their industry peers using qualitative metrics such as management team, market traction, and technology (Akdağ, 2017). Each factor is assigned a weight and a score relative to the selected comparable; the total weighted score is then multiplied by the industry valuation to obtain an estimated value (Akdağ, 2017). Comparable company analysis directly compares a target firm with similar public firms

based on financial metrics such as price-to-earnings, while adjusting for differences in firm financial and qualitative characteristics (Skočir and Lončarski, 2024).

Metric	Weight	Score
Financial Health YoY Revenue Growth Price to EBITDA Cash Runway	7%	
Customer Metrics/ Unit Economics Net Revenue Retention Lifetime value/Customer Acquisition Costs Growth in Earnings Customer Retention Rate	15%	
Operational and Team Metrics Team Background and Experience Knowledge of Managers and backgrounds Management Alignment with fund expectations Patent Count/Quality	20%	
Risk and Compliance Fraud and Detection Concentration Risk Data Protection Metrics Regulatory Compliance	15%	
Growth and Scalability Rule of 40 Scaling Capability Serviceable Addressable Market Market Share	18%	
Exit and Value Creation IRR/MOIC Exit Channels Expected TVPI	10%	
Holy Grail Metrics Switch Cost Index Platform Dependence Data Network/Pool Ecosystem Positioning	15%	
SUM	100%	

Company Valuation

Mesta

Metric (in \$ Millions)	2025E	2026P	2027P	2028P	2029P	2030P (Exit)
Stage	<i>Seed</i>	<i>Series A</i>	<i>Series B</i>	<i>Expansion</i>	<i>Growth</i>	<i>Exit / M&A</i>
Total Revenue	\$0.8	\$2.5	\$7.5	\$16.5	\$28.0	\$45.0
YoY Growth %	-	212%	200%	120%	70%	61%
EBITDA	(\$2.0)	(\$4.0)	(\$6.0)	(\$3.5)	\$1.5	\$4.5
EBITDA Margin %	-250%	-160%	-80%	-21%	5%	10%
Valuation (Post-Money)	\$27.5	\$50.0	\$120.0	\$200.0	\$350.0	\$450.0
Implied Multiple						10.0x Rev

Due to Mesta's early-stage (Seed) status and lack of historical cash flows, we used a triangulation approach combining the **VC Method** and **Comparable Company Analysis**.

Here are the three methods we are using to "triangulate" Mesta's value, as is standard practice in private markets:

Metric (millions \$)	Assumptions	Valuation Estimate
Anchor (Market price/ last round)	Application to Mesta: We established a Post-Money Valuation of \$27.5M based on the \$5.5M Seed Round and the assumption of a standard 20% equity dilution. This is the actual price the market (Village Global,	\$27.5M

	Circle Ventures, Paxos, etc.) was willing to pay.	
VC/ Projective Method	We projected a \$450M Exit Value in 2030 and then discounted that value back to show that the high target return (12x+ MOIC) is achievable, justifying the initial \$27.5M entry price.	\$450 million
Comparable Method and Scorecard	Comparables: We use the peer group's mean EV/Revenue multiple of 9.61x to justify the 10x multiple used in the VC Method. Scorecard: We use factors like the quality of the team (Co-Founders with strong roles), technology (Blockchain/FinTech), and strategic investors (Circle/Paxos) to argue why Mesta deserves a premium over the average early-stage valuation	\$27.5M

Valuation Range for Mesta

1. **Lower Bound (Anchor): \$27.5M**, reflecting the actual post-Money price paid in the Seed round. This value is anchored by strategic investment from firms like Circle Ventures and Paxos.

2. **Base Case: \$27.5M – \$40M**, reflecting the immediate implied value based on the **Scorecard** factors (strong team, unique technology) and current market multiples for high-growth potential.
3. **Upside Case (Projective): \$450M**, based on the **VC Method** projection, representing the target exit value required to generate the high MOIC (12x+) and justify the Seed-stage risk profile.

Overall: A reasonable **near-term valuation** is fixed at the **\$27.5M anchor**, with the **\$450M upside** potential driving our investment rationale. The focus is on maximizing long-term strategic value creation through a high-growth exit scenario.

Validating Valuation methodology for Mesta

As Mesta is a **Seed-stage** investment in the high-risk, high-potential **Blockchain Fintech** sector, relying solely on current financial multiples is impossible and misleading. For a pre-product-market-fit company in the "0-1 investment space," the valuation must capture the full risk/return profile.

By utilizing the **Triangulation Approach**, we capture the necessary dimensions:

- **Anchor:** The actual market sentiment and entry price paid by strategic VCs like Circle Ventures and Paxos.
- **VC/Projective Method:** The long-term growth and exit potential required to achieve target MOIC (12x+).
- **Scorecard/Comps:** Qualitative factors and peer benchmarks (9.61x mean EV/Revenue) that justify paying a premium for a strategically backed team.

This approach provides a robust, defensible valuation by balancing current reality with aggressive growth forecasting.

Mesta Financial Snapshot Table

Metric (USD millions)	Mesta (Expected 2025)
Stage	Seed
Total Revenue	\$0.8 million (Estimated ARR)
YoY Growth (Projected)	212% (Projected initial scaling, demonstrating massive early traction potential)
EBITDA	(\$2.0 million) (Typical for a VC-backed firm investing heavily in R&D and securing compliance in the first 24 months)
EBITDA Margin	-250.0% (Due to high operating leverage at low initial revenue; expected to improve rapidly)
Target Exit Revenue Multiple	10.0x Revenue (Based on the Comps Set Mean of 9.61x for high-growth peers)
Valuation (Post money anchor)	\$27.5 million (Derived from the \$5.5M Seed Round assuming 20% dilution)

Bondaval

Bondaval is a UK-based insurance-tech company that provides digitally enabled trade-finance insurance. It secures receivables for credit teams, enabling them to extend more credit and secure better financing terms. Their product offerings include non-payment guarantees and microbands that provide non-cancellable protection. This is an alternative to traditional bank guarantees, LOC, or cash collateral.

Founded in 2020 and raised \$15 million in Series A funding in December 2022. Operates across multiple countries for large corporations.

Metric (\$m)	2025E	2026P	2027P	2028P	2029P	2030P (Exit)
Stage	Seed	Series A	Series B	Expansion	Growth	Exit/Maturity
Total revenue	\$2-3	\$8	\$15-20	\$25-35	\$50-70m	\$200-300
YoY Growth	150-200%	70%	60-70%	50-60%	40-50%	30-40%
EBITDA	(\$3)	(\$12)	(\$10)	(\$5)	Break-Even - \$5	\$20-30
EBITDA Margin (%)	(120-150%)	(150%)	(60%)	(15%)	0-10%	10%
Valuation (post-Money)	\$10-20	\$60-75	\$100-150	\$150-180	\$180-220	FV=\$1.5-4B PV=\$180-250
Implied Multiple	4-6x ARR	7.5-9.3x	6-8x	5-7x	5-7x	10x

Triangulation of Valuation Methods

Metric (millions \$)	Assumptions	Valuation Estimate
Anchor (Market price/ last round)	Last known round: \$15 million series A funding in December 2022. Assumptions of post-money dilution and standard dilution expectations. Realistic example: If the \$15 million bought 20-25% of equity which is typical for series A, this implies a post money valuation of \$60-75million	60-75\$ million
VC/ Projective Method	1) Assuming Bondaval aims for <u>substantial global expansion</u> of growth. 2) <u>Exit strategy</u> : Acquisition by a large insurance firm or IPO. If the exit year is 2030 (example) Bondaval may be able to reach \$200-300 million in revenue given their global scale and strong demand in trade finance. 3) <u>Exit multiple</u> : Fintech and Insurtech revenue multiples vary but we are assuming a conservative 5-10x revenue multiple which gives exit enterprise value of \$1.5B-\$4B. 4) <u>Discount to PV</u> : High discount rate given high risk. Along the lines of 25-30%. 5) <u>Back of the envelope calculation</u> : Assuming exit EV = \$2.5B and a discount rate of 30% over 8 years then, $PV = \$2.5B / (1+0.3)^8 = \310million . Adjusting for dilution and execution risk, we may get around 60-70% probability of success, meaning a final value of \$180-220 million.	\$180-220 million but could be higher under more bullish assumptions.
Comparable Method	Recent deals show EV/Revenue multiples of 4-8x given uncertainty and	\$20-80 million

	growth potential. Applying the prior revenue multiple to Bondaval's estimated current revenues, we get a final valuation of \$20-80 million. This is assuming that Bondaval's earnings during the next 12 months are \$5-10 million.	
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Valuation Range Bondaval

- Lower bound case: \$60-75 million, reflecting what the market recently paid for similar deals.
- Base case: \$100-150 million reflecting the midpoint between anchor valuation and comparables-based valuation under improved revenue assumptions.
- Upside case: \$180-220 million based on VC method projection and a successful exit scenario.

Overall, a reasonable near-term valuation range of Bondaval is \$80-150 million with upside potential higher depending on performance.

Validating Valuation Methodology for Bondaval

As Bondaval is still in an early growth stage in Insurtech, with some funding but still scaling, relying on a single method is misleading. By combining the three methods utilized above, we capture different dimensions. We capture actual market sentiment, future potential, and peer benchmarks.

Bondaval Financial Snapshot Table

Metric (USD millions)	Bondaval (Expected 2025)
Stage	Series A
Total Revenue	\$8 million annual recurring revenue which assumes typical traction for a strong series A Insurtech.
YoY Growth	+70% which is reasonable for early fintech scaling with enterprise clients.
EBITDA	\$12 million, typical for Insurtech firms which reinvest heavily into underwriting infrastructure and tech.
EBITDA margin	150%
Implied Revenue multiple	7.5-9.3x
Valuation (Post money anchor)	\$60-75 million from the last round of deals.

Metric (\$m)	2025E	2026P	2027P	2028P	2029P	2030P (Exit)
Stage	Seed	Series A	Series B	Expansion	Growth	Exit/Maturity
Total revenue	\$1–2	\$7–12	\$20–30	\$40–60	\$90–140	\$300–500
YoY Growth	150–300%	250–100%	60–80%	50–70%	40–60%	30–40%
EBITDA	(\$1.5–2.5)	(\$6–9)	(\$2–5)	(\$1–4)	Break-even \$10–20	\$30–60
EBITDA Margin (%)	(120–200%)	(80–150%)	(10–25%)	(-5–10%)	0–10%	10–15%
Valuation (post-Money)	\$8–15	\$50–90	\$150–250	\$300–450	\$600–1,000	FV=\$1.8–4.5B / PV=\$350–900
Implied Multiple	4–6x ARR	6–9x	6–8x	5–7x	5–7x ARR	8–12x

Receive

Receive is a financial access platform designed for business cash flow management purposes. Its tools connect sales data and bank accounts to analyse revenue in real time, offering dynamic spending power with no fees or interest, enabling small and medium-sized firms to improve liquidity, manage transactions through a dedicated dashboard, and support operational growth by providing flexible, accessible funding based on actual sales activity (Pitchbook, 2025).

Founded in 2022, the company raised \$4 million.

Triangulation of Valuation Methods

Metric (millions \$)	Assumptions	Valuation Estimate
Anchor (Market price / last round)	Receive's the most recent round at \$3–5M, raised at a typical \$12–20M post-money valuation for early-stage fintech. Assuming the round purchased – 20–25% of equity, this implies a valuation range of \$16–20M.	\$15–25 million
VC / Projective Method	1. Receive targets substantial growth in receivables/work-capital automation similar to Fundbox, HighRadius, Taulia, etc. 2. Exit strategy: Acquisition or IPO by 2030. 3. Under high adoption, Receive may reach \$300–500M revenue at exit. 4. Applying a 5–10x revenue multiple gives a potential EV of \$1.8B–\$4.5B. 5. Discount rate of 25–30% over 6 years – PV of \$600–900M. 6. Adjusting for dilution and execution risk – 30–40% weighted value.	\$180–300 million
Comparable Method	Recent AR/AP/working-capital fintech deals trade at 4–8x revenue. Receive's current revenue: \$1–2M (2025). 12-month	\$25–80 million

	forward revenue: \$7–12M. Applying comparable multiples to current vs. forward revenue gives a valuation range of \$25–80M.	
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Valuation Range for Receive

1. Lower bound: \$15–25M
2. Base case: \$60–100M
3. Upside case: \$180–300M

Reasonable near-term valuation range: \$60–150M, with upside depending on revenue and execution.

Receive — Financial Snapshot Table

Metric (USD millions)	Receive (Expected 2025)
Stage	Seed / Pre-Series A
Total Revenue	\$1–2 million ARR, consistent with early traction for a receivables/working-capital automation fintech entering the market with initial enterprise and mid-market clients.
YoY Growth	+150–300%, reflecting early product-market fit and rapid expansion typical of high-growth fintech infrastructure startups.
EBITDA	(\$1.5–2.5 million), reflecting heavy reinvestment into engineering, credit infrastructure, and onboarding costs.
EBITDA Margin	(120–200%), typical for early-stage fintech platforms before scale efficiencies.

Implied Revenue Multiple	4–6x, aligned with early-stage fintech SaaS comps and seed-to-A valuation norms.
Valuation (post-money anchor)	\$15–25 million, based on comparable early-stage fintech/working-capital automation rounds.

Target Fund Returns

We present 3 financial indicators to show our funds' target returns: Net MOIC, Net DPI, and Net IRR. We have chosen a bottom-up portfolio-outcome approach to estimate our fund's target performance metrics. Based on the empirical distribution of VC exits, we assumed that 25% of our portfolio companies will fail, 30% will generate some return (approximately 1.2x), 30% will show strong growth (approximately 4.0x), and 15% will represent outlier performers (approximately 10.0x). This results in a gross MOIC of roughly 4.4x to 4.6x. Our estimated net TVPI will be 3.3x–3.5x after deducting 2% annual management fees and 20% interest. The objective net DPI is projected at about 2.22x, assuming that by the close of the fund, exits will realize about 65% of the overall fund value. Finally, the implied target net IRR will sit at around 22%-25%. These numbers are justified by the fund's focus on infrastructure, strong institutional partners, and lower retail-app risk. Calculations for our estimated metrics are shown below.

Returns	Weight	MOIC
Loss	25%	0.0x
Weak	30%	1.2x
Good	30%	4.0x
Outliers	15%	30.0x

$$\text{Gross MOIC} = 0 + (30\% \times 1.2) + (30\% \times 4) + (15\% \times 30) = 4.56x$$

$$\text{Carry-on profits} + \text{Management fees for 10 years} = 25\%-30\%$$

$$\text{Net MOIC} = \text{Gross MOIC} \times (1 - 25\%) = 4.56x \times 75\% = 3.42x \text{ (target net TVPI 3.3x-3.5x)}$$

$$\text{Distribution ratio by year 10} = 65\%$$

$$\text{Target DPI} = 3.42 \times 0.65 = 2.22x$$

$$\text{Average exit} \Rightarrow 6 \text{ years} \quad \text{Net MOIC} = 3.42x$$

$$\text{Net IRR} = (\text{MOIC})^{(1/n)} - 1$$

$$\text{Net IRR} = (3.42)^{(1/6)} - 1 = 22.7\%$$

Fund Exit Strategies:

Exit Strategy	Description	Pros	Cons
IPO	Listing the company on a public market to access institutional capital.	Highest potential valuation and liquidity for all shareholders.	High cost and market volatility. Increased scrutiny and regulatory burden.

Acquisition (Strategic Buyer)	Sale to a bank, credit institution or fintech	Strong multiples and fast exit	Integration challenges
Secondary sale to another fund	Selling our equity stake to a PE/VC without requiring a full company exit.	Faster exit and access to liquidity without needing company level transaction	Lower valuation compared to acquisitions
Merger with another fintech	Combining with another startup to increase scale	Potential for increased valuation and strengthens the competitive position through synergies	Complex negotiations and risk of dilution or integration difficulties
Management Buy-out	Management team buys our stake which is funded by lenders or new investors	Aligned incentives and faster process	Lower valuation as financing structure may limit options

4. Fund Level Risks

Risks

Financial Risks

Follow-on Funding Risk (Probability: Medium, Impact: Low)

Existing research indicates that only 15.4% of startups that raised a seed round in 2022 went on to raise a Series A within 2 years (Carta, 2025). Compared with 2018, when 30.6% of firms raised a Series A, this shows a decline in follow-on funding success rates (Carta, 2025). Looking at the fintech sector, the gap between seed and Series A rounds was 971 days in 2024, up from 420 days in 2021, an 84% increase (Scaleup Finance, 2025). Our fund is particularly exposed, as fintechs are highly capital-intensive and require ongoing funding. We must ensure we have adequate additional liquidity to inject into firms, which may help us achieve a lower failure rate among our portfolio companies.

Valuation Uncertainty (Probability: Medium, Impact: Medium)

Fintech firms are difficult to value using comparable-company analysis because their solutions are distinctive. Many lack true peers, and using approximations may lead to under- or overpricing a firm (Gray, 2025). Research by the FCA found that most private-market valuation practices were based on vague rationales and lacked sufficient documentation of methodological processes (FCA, 2025). Fintech multiples for early-stage startups range from 6x to 40x, highlighting the considerable uncertainty in the valuation process (WinsorDrake, 2025). Furthermore, a 10% change in an assumption may swing valuations by up to 200%, highlighting the difficulties in

valuing companies (WinsorDrake, 2025). The key mitigation for these issues is to use a multi-pronged valuation approach, utilizing scorecarding and comparable company analysis to create a balanced overview of the firm's value (Growth Equity, 2025).

Commercial Risks

Market Volatility (Probability: High, Impact: Medium)

Fintechs are highly susceptible to market downturns, as movements in equity markets can affect their performance. Academic research highlights that the option-like structure of VC investments in fintech often exposes investors to market volatility, unlike other asset classes (Martech, 2018). Fintech companies have higher market risk than traditional SaaS companies due to the regulatory uncertainty and market novelty (Martech, 2018). Often, y (Martech, 2018). Often, fintechs use leverage to boost their growth; however, this exposes them to greater market shocks (Camanho et al., 2022). A key mitigation strategy is to structure the portfolio to minimize co-movement between markets and firms. This diversification within fintech may protect against market shocks. Furthermore, consistent modeling and scenario analysis are required to assess different market conditions and their impact on the fund's portfolio.

Early-Stage Failure Rate (Probability: High, Impact: High)

Venture-backed startups fail to return capital to investors 75% of the time, with 30-40% liquidating entirely (Bhattacharya et al., 2015). The existing US literature indicates that 17-25% fail within a year, 27-38% fail within 2 years, 36-48% fail within 3 years, and by year 4, 42-54% have failed (Shikhar Ghosh, 2012). This risk is challenging to mitigate due to its unpredictable nature. Monte Carlo simulations could be used to model the probability of different firms failing in a varying number of scenarios, including macro and micro factors (Kamal Hassan, 2020)

Operational Risks

Weak Founding Team and Product Market Fit Risks (Probability: Medium, Impact: Low)

Academic literature highlights that weak founding teams and poor product-market fit drive operational failure, accounting for 42-75% of startup collapses (Esen et al., 2023). Product-market fit is essential to a startup's success, with failure to gain market adoption resulting in a 34-42% startup failure rate (Eisenmann, 2020). Well-rounded founding teams are also essential, as promising founders can constantly adapt and create new solutions, while bad founders, even with good products, will fail to scale a business. The key mitigation strategy is to select a strong team with diverse skills (Gompers and Mukharlyamov, 2022). Customer research is essential to PMF, helping ensure the product is optimized to provide the best pathway to profitability for a firm (Eisenmann, 2020).

Technology Execution Risk (Probability: Medium, Impact: Low)

Existing research indicates that technology execution risk is a primary cause of failure in fintechs. Immature technology, integration failures, and scalability issues account for 73-87% of technology startup failure (Norbäck et al., 2022). Execution failures are primarily caused by poor teams, overly complex projects, unrealistic timelines, and inadequate resource planning (Werth et al., 2023). These issues are mainly mitigated through phased development and support schedules (Schmidt, 2023). Furthermore, from a fund perspective, funding is linked to tech milestones and to the management of key risks outlined by the VC (Norbäck et al., 2022).

Regulatory Risks

Regulatory Changes (Probability: Medium, Impact: Medium)

Studies show that regulatory uncertainty is a significant constraint on fintech innovation and funding, resulting in a reduction of capital allocation to the sector by 15-25% (Lin William Cong, 2024). Furthermore, unclear compliance paths and enforcement risks drive investors away, as the additional layer of complexity creates additional costs for investing in financial technology. Moreover, the sector is under greater scrutiny, especially following recent financial scandals such as FTX (Wyke, 2023). Entrance into regulatory sandboxes has been shown to cut compliance costs and increase funding by 15% post-entry (Wyke, 2023). Staged contracts with covenants will ensure that, post-investment, the firms remain compliant with government regulations (LiPuma and Park, 2014).

5. Compliance

Requirements	Key Action
AIFM Authorized	Our fund complies under the FCA regulations, and our general partner is authorized General partner (HM Treasury, 2025). We are a Full-Scope AIFM, with over £100 million in assets under management currently (HM Treasury, 2025). Our fund continuously conducts internal reporting to ensure we meet the necessary reporting guidelines. Our internal monitoring board flags areas of non-compliance.

Depository	Our fund has an FCA-authorized depository (Llp, 2025). We also have a depository within our fund. To ensure we remain compliant with the relevant regulations, we will ensure to conduct depository stress testing.
AML/KYC	The sourcing of funding for our fund is vetted in line with existing anti-money laundering laws and regulations. We ensure to employ high level limited partner due diligence, vetting their background and source of funds (Legislation, 2025b). We also seek to investigate if our limited partners are politically exposed people, to avoid future regulatory scrutiny.
Governance	Our board members and senior management is all assessed and continuously monitored. We follow a tight and formal senior management code which is guided by a statement of purpose with accountability mapping (BVCA, 2025). Our governance committee monitors our funds behavior and actions, to see possible areas of breaches.
Operational Resilience	Our fund has mapped our tolerances for a range of scenarios, like liquidity squeezes and possible market upheaval. This has been done in line with guidance from the FCA, using a broad number of metrics. (FCA, 2019). We employ probability models to look at possible exposures and engage with third parties to do external risk reviews.
Tax Disclosure	Our fund complies with the annual partnership tax return (SA800) from the HMRC (HMRC, 2025). All our financial information is reported accurately and on time to the HMRC to ensure complete compliance. We provide the relevant documentation to our limited partners to fill for tax. Our fund also outsources tax advisors to ensure our compliance with all existing regulations. Furthermore, we maintain a long and detailed audit trail, in the event we are audited by the HMRC.
Data Disclosure & Regulatory Reporting	Data disclosure is an integral part of our internal compliance metrics. We ensure to abide by the UK GDPR regulation to ensure we process and use our limited partners/portfolio companies in a legal manner (Legislation, 2025a). We produce annual reports regarding our fund activities and decisions, to ensure regulators are kept up to date on our activities and areas of possible breaches.

6. Staff Incentives

Our fund utilizes a performance-based compensation structure for our seven-man team. All staff receive a fixed base salary, with the opportunity for performance-based bonuses. This includes funding brought to the fund and successful exits from portfolio firms. Furthermore, our fund offers long-term incentives, such as equity in portfolio firms, to ensure our interests are aligned with those of our limited partners.

Our base salaries range from \$50,000 for our analysts to \$200,000 for the managing partner. This is slightly divergent from other funds, as we pay our analysts less to push them to work harder to bring deals. Our annual bonuses are (30-60%) of base wages, and are tied to milestones like deal sourcing, portfolio monitoring, and LP reporting. This is all funded via our 2% fund management fee. Our carried interest is the core internal incentive: 20% of profits above the 8% return hurdle are distributed by seniority. Our Managing Partner receives 35%, Investment Partners receive 30%, and others receive 35%.

7. Capitalization

The fund targets a total of \$30 million in committed capital, with \$25 million from our limited partners and \$5 million from the general partners' commitment. The fund will be deployed across pre-seed, seed, and Series A startups mainly in the fintech space. We are a generalist fund; hence, we will invest across multiple subsectors of financial technology. The GP commits \$5 million to ensure his interests remain in line with the LPs. We aim to raise funds from both anchor and institutional LPs.

Our fund will draw down \$30 million in tranches over its investment period. We will draw it down over 2 years, in line with the timing of our deal pipeline and our portfolio requirements. From the \$30 million, we expect to deploy 60% of the capital into equity investments in 10-12 startups by the third year. Our investment sizes range from \$50,000 to \$2 million. The fund will continue to maintain a 15% asset reserve to cover potential follow-on investments and mitigate risks.

Competitive Landscape Analysis

Our three portfolio companies can be classified into separate market types and verticals within the fintech industry. The table below shows precise niches that chosen companies pertain to. (Mesta, 2025; Receive, 2025; Bondaval, 2025)

Portfolio Company	Market Type	Vertical
Mesta	Infrastructure	B2B Cross-Border Payments & Stablecoin Rails
Receive	Embedded Finance	SME Working Capital/Earned Revenue Access
Bondaval	Insurtech/Risk	Trade Credit Insurance & Digital Guarantees

Source: Company websites (Mesta, 2025; Receive, 2025; Bondaval, 2025); Team analysis.

According to the industry classification, direct and indirect competitors for each company have been identified. Direct competitors of Mesta are Wise Business, Airwallex, RippleNet, and Thunes

(Wise, 2025; Airwallex, 2025; Ripple, 2025; Thunes, 2025). SWIFT, correspondent banks such as HSBC and Citi, and Western Union Business can serve as indirect and legacy competitors for Mesta (SWIFT, 2025; HSBC, 2025; Citi, 2025; Western Union, 2025). The main differentiator of Mesta from its competitors is its hybrid approach, combining a Web2 interface with Web3 rails (Mesta, 2025). Group of competitors for Receive includes Fundbox, Wayflyer as its direct, and traditional SME overdrafts and invoice factoring providers offered by commercial banks and alternative financial institutions as its indirect competitors (Fundbox, 2025; Wayflyer, 2025; British Business bank, 2024). The features that make Receive stand out among its competitors are zero interest, earned revenue access, and no underwriting friction (Receive, 2025). Trade Ledger, B2B lines of Cover Genius and Surecomp serve as direct competitors for the 3rd company in our portfolio, Bondaval (Trade Ledger, 2025; Cover Genius, 2025; Surecomp, 2025). The company also competes with traditional incumbents such as Allianz Trade (formerly Euler Hermes), Coface, Atradius, and conventional banks' letters of credit (Allianz Trade, 2025; Coface, 2025; Atradius, 2025). The competitive advantages of Bondaval over those companies include its collateral-free service, microbonds, and real-time guarantees (Bondaval, 2025).

To see the difference between our chosen companies and their respective competitors, competitive positioning matrixes have been created.

Mesta – Competitive Positioning

Firm	Speed	Cost	Regulation	Stablecoin Native	API-first
Mesta	Ultra-fast	Low	Regulated	Yes	Yes
Wise	Fast	Low	Regulated	No	Yes

SWIFT	Slow	High	Regulated	No	No
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Source: Mesta (2025); Wise (2025); SWIFT (2025); Team analysis.

Receive - Competitive Positioning

Firm	Interest-Free	Embedded	Real-Time	Credit Required
Receive	Yes	Yes	Yes	No
Fundbox	No	Yes	Yes	Yes
Banks	No	No	No	Yes

Source: Receive (2025); Fundbox (2025); Small Business Finance Markets (British Business Bank, 2024); Team analysis.

Bondaval – Competitive Positioning

Firm	Collateral-Free	Digital	Insurance Backed	SME-Friendly
Bondaval	Yes	Yes	Swiss Re	Yes
Allianz Trade (Formerly Euler Hermes)	No	Partial	Yes	No
Bank LOC	No	No	No	No

Source: Bondaval (2025); Allianz Trade (2025); European Central Bank – SME credit instruments (ECB, 2024); Team analysis.

This output shows the advantages of the 3 firms we chose over their main competitors. Mesta dominates speed, cost, and innovation. Receive also fundamentally beats traditional lenders, in terms of speed and cost. Bondaval simultaneously challenges banks and insurers.

The competitive environments of Mesta, Receive, and Bondaval demonstrate a common fundamental advantage throughout the portfolio: they all operate as financial infrastructure rather than as individual consumer fintech. This improves switching costs, decreases cyclicity, and enhances long-term exit potential for strategic acquirers including payment networks, banks, and insurers. Additionally, due to incumbent disruption, these companies have a high probability of M&A exit.

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